



Mindteck Investor Presentation

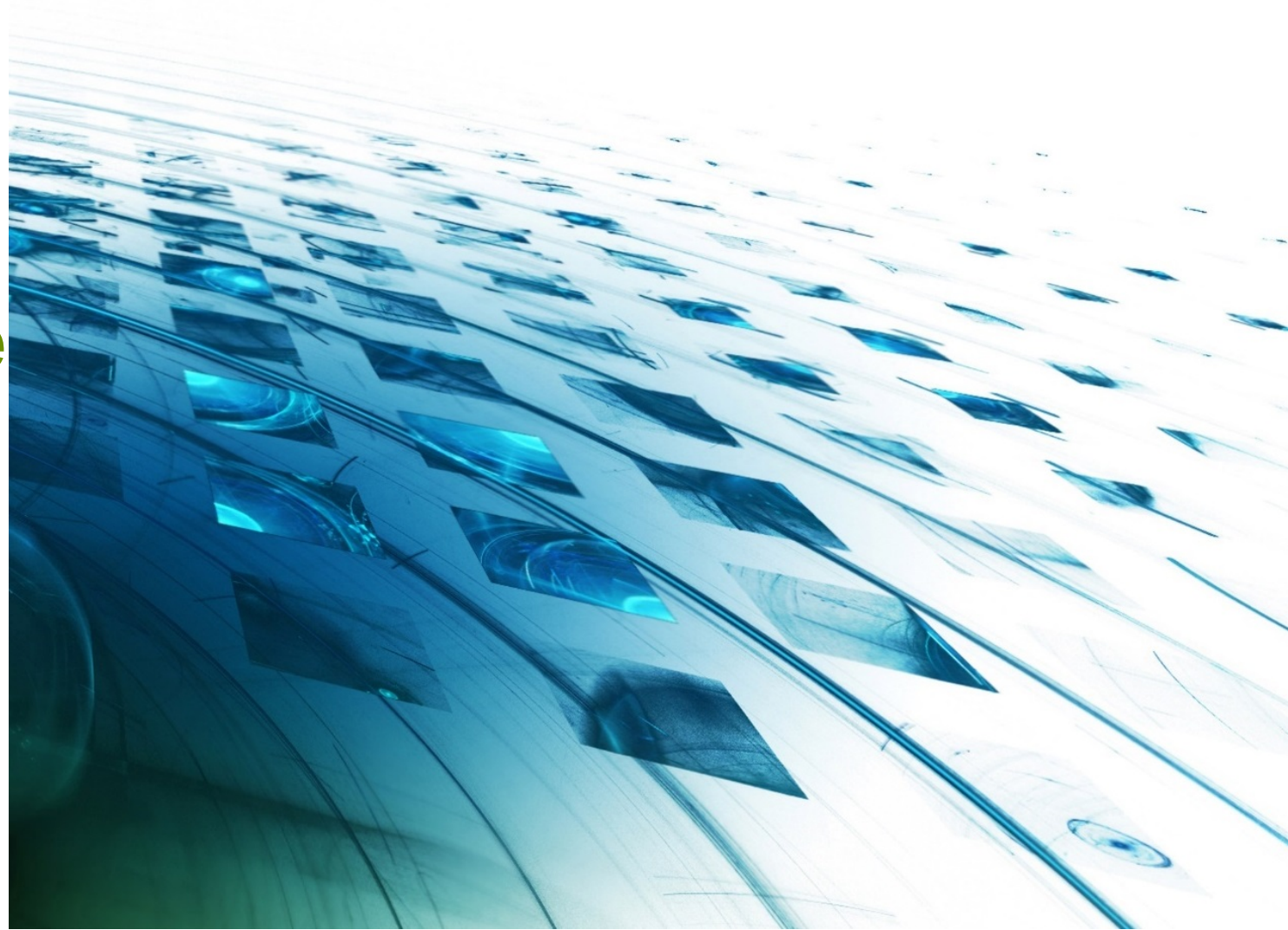
FIRST QUARTER ENDED JUNE 30, 2020

August 13, 2020

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights** – Consolidated Results

Q1 FY 2020-21:

- Revenue at ₹686.2 million (\$9.1 million), dip of 2.9% QoQ and growth of 0.1% YoY.
- EBITDA for the quarter ended June 30, 2020 at ₹31.0 million (\$0.41 million) compared to ₹5.1 million (\$0.07 million) for the quarter ended March 31, 2020 and ₹27.1 million (\$0.39 million) for the quarter ended June 2019 .
- Profit after tax (“PAT”) at ₹16.7 million (\$0.2 million) as against loss of (₹ 408.6)* million ((\$5.8) million) for the quarter ended March 31, 2020 and profit of ₹3.5 million (\$0.1 million) in March 2019.

** During the quarter ended March 31, 2020, as a part of year end impairment evaluation and considering the COVID-19 pandemic, impairment assessment was carried out in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, an additional impairment of ₹378.5 million (\$5.2 million) towards carrying value of goodwill has been recorded.*

Performance Summary – Consolidated Results

SEQUENTIAL Q1'21 Vs Q4'20

Amount in ₹ million

SL #	Particulars	Q1' 21 (Unaudited)	Q4' 20 (Audited)	Change %
1	Income:			
	a) Revenue	686.2	707.0	-2.9%
	b) Other income	21.5	3.7	481.1%
	Total Income (a+b)	707.7	710.7	-0.4%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	113.2	102.9	10.0%
	b) Employee benefits expense	484.8	513.3	-5.6%
	c) Finance cost	5.4	5.4	0.0%
	d) Depreciation and amortization	17.6	18.1	-2.8%
	e) Other expenses	57.2	85.7	-33.3%
	Total Expenses (a+b+c+d+e)	678.2	725.4	-6.5%
3	Profit/ (Loss) Before Tax & Exceptional Items ("PBT") (1-2)	29.5	(14.7)	(a)
4	Exceptional Item*	-	(394.4)	(a)
5	Profit/ (Loss) Before Tax ("PBT") (3+4)	29.5	(409.1)	(a)
6	Tax expense	12.8	(0.5)	(a)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	16.7	(408.6)	(a)

* During the quarter ended March 31, 2020, as a part of year end impairment evaluation and considering the COVID-19 pandemic, impairment assessment was carried out in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, an additional impairment of ₹378.5 million (\$5.2 million) towards carrying value of goodwill has been recorded.

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Performance Summary - Consolidated Results

YoY Q1 FY 21 Vs. Q1 FY 20

Amount in ₹ million

SL #	Particulars	Q1' 21 (Unaudited)	Q1' 20 (Unaudited)	Change %
1	Income:			
	a) Revenue	686.2	685.4	0.1%
	b) Other income	21.5	3.4	532.4%
	Total Income (a+b)	707.7	688.8	2.7%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	113.2	109.9	3.0%
	b) Employee benefits expense	484.8	477.6	1.5%
	c) Finance cost	5.4	5.9	-8.5%
	d) Depreciation and amortization	17.6	16.3	8.0%
	e) Other expenses	57.2	70.8	-19.2%
	Total Expenses (a+b+c+d+e)	678.2	680.5	-0.3%
3	Profit/ (Loss) Before Tax (1-2)	29.5	8.3	255.4%
4	Tax expense	12.8	4.8	166.7%
5	Profit/ (Loss) After Tax ("PAT") (3-4)	16.7	3.5	377.1%

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q1 2021	Q4 2020	Q1 2020	Growth %		FY 20
					QoQ	YoY	
Revenue		686.2	707.0	685.4	-2.9%	0.1%	2,761.3
EBITDA		31.0	5.1	27.1	507.8%	14.4%	44.9
PAT		16.7	(408.6)*	3.5	(a)	377.1%	(648.0)*

In \$ Million

Particulars		Q1 2021	Q4 2020	Q1 2020	Growth %		FY 20
					QoQ	YoY	
Revenue		9.1	10.0	9.9	-8.9%	-8.1%	38.9
EBITDA		0.4	0.1	0.4	470.3%	6.1%	0.6
PAT		0.2	(5.8)*	0.1	(a)	(a)	(9.1)*

USD/INR

Exchange Rate		Q1 2021	Q4 2020	Q1 2020	FY 20
Average (P&L)		75.4	70.2	69.4	71.1

*During the quarter ended March 31, 2020, as a part of year end impairment evaluation and considering the COVID-19 pandemic, impairment assessment was carried out in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, an additional impairment of ₹378.5 million (\$5.2 million) towards carrying value of goodwill has been recorded. Accordingly, an impairment provision totaling to ₹594.2 million (\$5.5 million) has been recorded for the year ended March 31, 2020.

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Fact Sheet

REVENUE METRICS

Geography		Q1 2021	Q4 2020	Q1 2020	FY 20
	USA	68%	70%	69%	69%
	IMEA	7%	6%	6%	6%
	Europe	11%	10%	10%	10%
	APAC	14%	14%	15%	15%

Delivery Centers		Q1 2021	Q4 2020	Q1 2020	FY 20
	USA	59%	62%	59%	60%
	India	13%	12%	14%	13%
	Singapore	9%	8%	9%	9%
	Malaysia	5%	5%	6%	6%
	UK	7%	7%	7%	7%
	Germany	3%	3%	3%	3%
	Baharin	4%	3%	2%	3%

Project Type		Q1 2021	Q4 2020	Q1 2020	FY 20
	Time & Material	97%	98%	97%	98%
	Fixed	3%	2%	3%	2%

Services		Q1 2021	Q4 2020	Q1 2020	FY 20
	Managed Services ("MS")	35%	30%	33%	31%
	Professional Services("PS")	65%	70%	67%	69%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q1 2021	Q4 2020	Q1 2020	FY 20
	Onsite	64%	69%	65%	68%
	Offshore	36%	31%	35%	32%

Revenue Mix - Business Offerings		Q1 2021	Q4 2020	Q1 2020	FY 20
	Talent Management	59%	61%	58%	60%
	Product Engineering	25%	23%	24%	24%
	Information Technology Services	16%	15%	17%	16%
	Smart City Services	0%	1%	1%	0%

Fact Sheet

CLIENT METRICS

Clients		Q1 2021	Q4 2020	Q1 2020	FY 20
	Top 5	55%	55%	56%	55%
	Top 10	70%	73%	72%	72%

Other details		Q1 2021	Q4 2020	Q1 2020	FY 20
	No of Clients	104	98	91	118
	1 Mn +	10	10	9	10
	5 Mn +	2	2	2	2

EMPLOYEE METRICS

PEOPLE		Q1 2021	Q4 2020	Q1 2020	FY 20
	<i>Total Headcount</i>	<i>974</i>	<i>951</i>	<i>999</i>	<i>951</i>
	Technical	805	779	832	779
	Support	169	172	167	172



**If you have any questions, or need assistance,
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